COURSE

Junior Cycle Business Studies (NCCA)

Cash flow and budgets

Strand 2: Enterprise · 2.11 Cash flow; 2.12 Cash account and budget; Strand 1 · 1.12–1.13 Financial position

Revision for Strand 2: Enterprise: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Cash flow and budgets**

THE LESSON

Setup	2 min
Round 1	Decisions 3 min · Deals 5 min · Topic tasks 4 min
Round 2	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Round 3	Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min
Final questions	3 min

Firm decisions	**Deals**	TASK 1 **Profit on this deal**	TASK 2 **Improve cash flow**	
Firm decisions	**Deals**	TASK 3 **Forecast in order**	TASK 4 **Month-end balance**	**B2B deal**
Firm decisions	**Deals**	TASK 5 **Cash now or later**	TASK 6 **Month-end balance**	**B2B deal**

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

They pay you in 30 days.

Profit on this deal?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Cars in the deal	**2 cars**
You buy them today, in total	**€28,000**
Prep and delivery, per car	**€300**
Customer pays in total	**€34,000**

METHOD

Profit = customer pays − you buy them − cars × prep per car

€34,000 − €28,000 − 2 × €300 = €5,400

Why: €5,400 profit, but €28,600 is out of your cash for 30 days.

Task 2

ROUND 1

Your bank balance is low. Customers take 60 days to pay you.

Which two would improve your cash flow?

PICK TWO

- ✔ **Ask customers to pay sooner**
- ✔ **Ask suppliers for longer to pay**
- ○ Buy more cars now to sell later
- ○ Give customers 90 days to pay
- ○ Pay suppliers early for goodwill

Why: Cash comes in sooner or goes out later; the other three take cash out sooner.

Task 3

ROUND 2

You fill in next month's cash flow forecast.

In what order do you work it out?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

Why: Net cash flow first; add the opening balance; the closing balance carries over.

Task 4

ROUND 2

A two-month deal.

Balance at the end of month 1?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Set aside for this deal	**€25,000**
Month 1: you buy the cars	**€49,500**
Month 1: customer deposit	**€11,500**
Month 2: rest of the price	**€45,500**

METHOD

Balance = set aside − you buy the cars + deposit

€25,000 − €49,500 + €11,500 = −€13,000

Why: Month 1 is short by €13,000. Month 2 brings €45,500.

Task 5

ROUND 3

Your bank balance is low. A taxi firm pays €30,000 today; a hire firm pays €31,000 in 90 days.

Which deal should you take, and why?

PICK A OR B AND GIVE A REASON

- ○ The hire firm: €31,000 in 90 days
- ✔ **The taxi firm: €30,000 today**

Why: With cash short, money today matters more than €1,000 more in 90 days.

Task 6

ROUND 3

They pay half in month 2.

Balance at the end of month 2? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Set aside for this deal	**€15,000**
Month 1: you buy the cars	**€42,000**
Running costs, each month	**€400**
Customer's price	**€53,000**

METHOD

Balance = set aside − you buy the cars − 2 × running costs + half the price

€15,000 − €42,000 − 2 × €400 + €26,500 = −€1,300

Why: Month 2 is still short: the other half comes in month 3.

Final questions

6
questions for each pupil

50
questions in the Irish set

10
of them on cash flow and budgets

The game draws 6 questions from the lesson topic "Cash, profit and VAT"; these 10 are about cash flow and budgets.

1 You bought a used hatchback for €8,400 and sold it to a customer for €10,400. VAT is 23/123 of the margin. How much VAT does this sale leave to pay?
€374

2 This round your firm sold three vehicles. The margins were €1,500, €3,300 and a loss of €600. How much VAT does the round's return ask for?
€897

3 Your firm has sold cars this round but has not filed the VAT return yet. Where does the VAT you owe show?
As a debt in the net position until the return is filed and paid.

4 A customer pays your firm €12,000 for a car that cost you €9,800. Who pays the VAT on this sale to Revenue?
Your firm, out of the price it received, when it files the return.

5 Your firm owes €1,122 of VAT this round and files the return late. The late charge is €125. What does the late return cost in total?
€1,247

6 Cash €150,000, stock at cost €40,000, a loan of €25,000 and unpaid VAT of €1,200. What is the net position?
€163,800

7 Your cash went up by €10,400 when a customer paid for a car that cost €8,400. How much of that cash is not really yours to spend?
The VAT on the margin, €374, which is owed to Revenue.

Final questions

8 You sell two scooters to customers: one bought for €2,100 and sold for €2,600, one bought for €2,400 and sold for €2,700. How much VAT do the two sales leave?

€149

9 The VAT return opens in the final 90 seconds of the round. Your firm has €2,600 of VAT to pay and €1,900 in cash. What happens if you file now?

The return cannot be paid in full; the firm needs €700 more cash before it files.

10 Your firm has €2,000 in cash, €2,800 of VAT due in the final 90 seconds, and a car in stock priced at €9,000. What is the soundest move?

Sell the car before the return opens, or take the Quick Loan if no buyer comes.